25901633 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP(HONOURS), MGU-B.VOC(HONOURS)

REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Multi Disciplinary Elective (MDE) - MG2MDCCOM100 - FUNDAMENTALS OF ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 30 Minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **10** questions

Each question carries **1** marks

1. Who is considered as the “Father of Accounting" ? [U] / [CO1]
2. What is the basic accounting equation ? [U] / [CO1]
3. Things of value owned by a person or a firm are called. [U] / [CO1]
4. What is simple journal entry ? [U] / [CO1]
5. A credit in an income account indicates [U] / [CO1]
6. How is a ledger different from a journal? [U] / [CO2]
7. What is Journal Proper? [U] / [CO2]
8. State any one limitation of Trial Balance. [U] / [CO2]
9. What is the difference between gross profit and net profit? [U] / [CO3]
10. What is the formula for calculating Gross Profit? [U] / [CO3]

11. What do you mean by grouping and marshalling of assets ? [U] / [CO3]

12. Which financial statement shows a company's financial position? [U] / [CO3]

[1x10 = 10]

Part B

Short Answer Questions

Answer any **4** questions

Each question carries **5** marks

13. Use accounting equation to show the effect of the following transactions on assets, liabilities and capital. [A] / [CO1, CO2]

Abhijith commenced business with cash ₹. 1,50,000

Purchased goods on credit ₹.40,000

Withdrew cash from business for personal use ₹.10,000

Sold goods for cash (Cost ₹. 15,000) ₹. 25,000

Paid rent ₹.5000

14. From the following transactions, prepare the sales book of Arnav Enterprises, Thiruvananthapuram [A] / [CO2]

2024 September

3:Sold to Black& White Enterprises, Kottayam

20 Refrigerators at ₹25,000 each

10 Mixer grinders at ₹10,000 each

Trade discount at 10 %

16. Sold to Navami Enterprises, Kochi for Cash

7 Television Sets at ₹30,000 each

5 Refrigerators at ₹ 30,000 each

5 Washing Machines at ₹. 15,000 each

15. What are the procedures for balancing an account? [U] / [CO2]

16. State whether the balance of the following accounts should be placed in debit column or credit column of the trial balance. Also apply imaginary figures to prepare a trial balance. [A] / [CO2]

1. Buildings
2. Opening stock
3. Cash at bank
4. Sundry Creditors
5. Sundry Debtors
6. Capital
7. Sales
8. Purchases
9. Discount allowed
10. Rent received

17. Prepare Trading Account of Mr Sharma from the following balances for the year 31 st March 20xx: Opening stock : 60,225 Purchases 1,9,9080 Sales 2,81,505 Return outward 1,455 Return inward 1,875 Manufacturing wages 46,875 Carriage inward 15,175 Coal gas and water 1,100 Factory fuel and power 1,305 Closing stock 63,705. [A] / [CO3]

18. Distinguish between P& L account and Balance Sheet. [U] / [CO3]

[5x4 = 20]

Part C

Essay Questions

Answer any **2** questions

Each question carries **10** marks

19. Post the Journal entries to necessary ledger accounts and find out the closing balances of the accounts. [A] / [CO2, CO4]

Date	*Particulars*	*L.F*	*Debit ₹*	*Credit ₹*
02.03.2024	*Cash a/c Dr* *Discount allowed a/c Dr* *To Debtors a/c* *(Cash received and allowed discount)*		*2,800* *200*	 *3,000*
06.03.2024	*Purchases a/c Dr* *To Creditors a/c* *(Credit purchases)*		*9,000*	*9,000*
08.03.2024	*Debtors' a/c Dr* *To Sales a/c* *(Credit sales)*		*8,000*	*8,000*
11.03.2024	*Cash a/c Dr* *Discount allowed a/c Dr* *To Debtors a/c* *(Cash received and allowed the discount)*		*7,200* *800*	 *8,000*

15.03.2024	*Salaries a/c Dr* *To Cash a/c* *(Salaries paid)*		*2,000*	*2,000*
18.03.2024	*Interest on Loan a/c Dr* *To Bank a/c* *(Interest on loan due)*		*700*	*700*
20.03.2024	*Creditors a/c Dr* *To Purchases return a/c* *(Purchases return)*		*1,000*	*1,000*
25.03.2024	*Drawings a/c Dr* *To Cash a/c* *(Drawings for personal use)*		*2,000*	*2,000*
30.03.2024	*Creditors a/c Dr* *To cash a/c* *To Discount received a/c* *(Amount paid and availed the discount)*		*7,000*	*6,000* *1,000*
31.03.2024	*Cash a/c Dr* *To Sales a/c* *(Cash Sales)*		*4,500*	*4,500*

20. From the following balances extracted from the books of M/s LMN &Co, prepare Trading and Profit & Loss Account for the year ending 31st March 20xx. [A] / [CO3, CO4]

Particulars	**Amount (₹)**	**Particulars**	**Amount (₹)**
Opening stock	60,000	Carriage inward	9,000
Purchases	2,50,000	Freight inward	7,000
Sales	5,00,000	Wages	22,000
Sales return	25,000	Salaries	28,000
Purchases return	8,000	Rent	20,000
Discount allowed	6,000	Office expenses	16,000
Discount received	4,000	Depreciation on furniture	12,000
Interest on loan	9,000	Advertisement expenses	14,000
Commission received	10,000		

Additional Information:Closing Stock is valued at ₹80,000

21. From the following balances of M/s Alpha Traders, prepare Profit and Loss Account and Balance Sheet for the year ending 31st March 20xx. [A] / [CO3, CO4]

Particulars	**Amount (₹)**
Gross Profit	1,20,000
Salaries	30,000
Rent Paid	15,000
Office Expenses	10,000
Interest Received	5,000
Capital	2,00,000
Cash in hand	25,000
Furniture	50,000
Creditors	40,000
Debtors	35,000
Bank Loan	30,000
Plant and Machinery	2,30,000

[10x2 = 20]